New Brand Extensions: Patterns of Success and Failure

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New Brand Extensions: Patterns of Success and Failure

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Introduction

The launch of new brand extensions is an integral part of the consumer packaged-goods business. Brand-extension strategy has several commercial advantages such as reduced promotional expenditure (Sullivan, 1992), increased likelihood of gaining retail distribution (Montgomery, 1978), reduced consumer risk (Aaker and Keller, 1990), and enhanced parent brand equity (Keller and Lehmann, 2006).

Such wide-ranging potential benefits should lead marketers to evaluate the performance of new extensions in the initial months to detect early signs of success or failure. For example, benchmarking growth of customer numbers and repeat buying against established norms can provide indicators for timely marketing support action or withdrawal of the product to conserve funds.

Although the performance of established brands is well documented (e.g., Ehrenberg, Uncles, and Goodhardt, 2004), the post-launch patterns of growth of new brand extensions remain largely under-explored. Despite growing interest in innovation and forecasting of new brands' success (e.g., Hardie, Fader, and Wisniewski, 1998; Steenkamp and Gielens, 2003; Ataman, Mela, and Van Heerde, 2008), the literature is largely silent about norms for the evaluation of market performance of new extensions.

An exception is the work of Ehrenberg and Goodhardt (2000) which examined market performance of successful new brand extensions. The study, although highly acclaimed, was exploratory in nature and employed a limited dataset. The authors

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acknowledged these limitations and invited researchers to undertake further analyses of new brand extension behavior in larger datasets.

The current study responds to this call with empirical results from a large-scale panel in consumer packaged-goods categories.[1] The authors considerably expand on previous findings by investigating a range of performance measures such as market share, penetration, purchase frequency, and repeat purchase (e.g., Goodhardt and Ehrenberg, 1967; Ehrenberg, 1988; Ehrenberg et al., 2004).

The results of the current research provide important insights on the hitherto unknown behavior of failing new brand extensions and provide analytical benchmarks for monitoring new extension performance.

The authors establish guidelines for distinction between new extensions that were performing well and those that were failing. The results show that the performance of successful extensions was comparable to that of incumbents by the second quarter after launch. Failing new extensions, however, show both the number of customers and their repeat-purchase rate declining from the third quarter onward. The authors suggest an early diagnostic framework that would allow management to adjust investment where necessary.

This article proceeds with a brief review of the literature on behavioral research on new brands, followed by a description of the data and research approach. The authors report on patterns of growth for 47 successful and failing extensions in 30 consumer packaged-goods categories. They then analyze the behavior of new extensions in the second year of their launch, draw conclusions, and discuss directions for further research. The article also discusses the applications of the authors' findings for the promotion of new brand extensions.

The Literature

Behavioral research on new brand launches has traditionally developed formal sales-projection models that tracked growth in penetration levels and repeat purchase. One early model used consumer panel data to predict the chances of success of new grocery brands (Fourt and Woodlock, 1960). The authors of that paper noted that successive increments in cumulative trial declined and that the cumulative curve approached a penetration limit of less than 100 percent of the households.

Subsequent studies also used panel data in predicting the success of new brands and were followed up by Parfitt and Collins (1968) and Ahl (1970). Other forecasting models were based on the incidence of repeat purchase of new products (Eskin, 1973; Kalwani and Silk, 1980; Hardie et al., 1998). Another example formulated a Bayesian dynamic linear model of repeat-purchase diffusion and linked growth to the new brand's long-term marketing-strategic orientation (Ataman et al., 2008).

Adopting a different approach, Wellan and Ehrenberg in 1988 demonstrated that a successful new brand behaved similarly to an established brand within a year of launch. They examined the case of Shield—a Unilever launch—and demonstrated that the product's penetration growth could be described by the negative binomial distribution model (e.g., Goodhardt, Ehrenberg, and Chatfield, 1984; Ehrenberg et al., 2004) and its repeat-purchase rate was consistent with its penetration level. The study, however, was limited in scope and generalizability.

In a follow-up of the 1988 study, Ehrenberg and Goodhardt in 2000 provided a blueprint for systematic investigation of behavior of newly launched consumer packaged-goods brands. The study showed that successful new brands behaved like established brands almost from the onset in terms of purchase frequency—a phenomenon they termed "near instant"[2] loyalty.

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The findings were based on analyses of two measures—penetration and purchase frequencies—for new launches in nine product categories. This study nonetheless was limited in its scope, as it did not investigate the incidence of repeat purchase or the patterns of failing new extensions. The authors stressed the need for more research to empirically generalize their findings across a larger number of product categories. The following year, another study examined the same issues but examined only one further data set (Wright and Sharp, 2001).

Given widely reported high levels of new-product failures (e.g., Tauber, 1988; Cierpicki, Wright, and Sharp, 2000; Ataman et al., 2008; Ernst, Hoyer, and Rübsaamen, 2010), more research in this area is needed. Practitioners and researchers are in agreement that market-performance metrics and repeat-purchase analyses could shed light on the patterns of new brand extension success or failure (Ehrenberg, 1988; Stern, 1995; East and Hammond, 1996; Lomax and McWilliam, 2001).

The Data and Research Approach

The data in the current study were provided by Kantar Worldpanel and comprised 30 datasets on consumer packaged-goods categories in the United Kingdom. Each dataset recorded weekly purchases by more than 15,000 households reporting over a 3-year span. The datasets were not all concurrent and covered the period 1997–2007.

The authors used Kantar's specialist software (Powerview) to generate a subset in each dataset of continuously reporting households covering 2-year periods to obtain the performance measures of new extensions and comparable existing lines, as described below.

Categorization of New Brand Extensions

The first step was to identify new brand extensions by tracking monthly sales starting from a zero base.

With an initial list of new launches, the authors eliminated extensions with small market share (less than 0.5 percent) and those bought infrequently. This methodology was in line with data-truncation rules widely used in panel data analysis. Although the design of the data set arguably might have dropped some failures from our database, managers hardly need assistance to diagnose sales performance at this level.

This selection process revealed 47 new brand extensions, which the authors classified into two groups:

- "rising" (n = 32); and
- "falling" (n = 15)

The classification was based on whether a simple regression trend line fitted to quarterly sales from launch to the end of the 3-year period gave a positive or a negative slope.

These groups were a proxy for brand extensions projected to be "successful" and "failing," respectively. New extensions may fail due to a number of reasons such as profit-related issues, failing to reach sales targets, or inadequate marketing support. Establishing a stable or growing volume, however, is an important step toward new extension success. The classification enabled the authors to examine how market-performance measures—penetration and repeat purchase, to name two—differed between the two groups and from established brands.

To compare results for each new extension, a set of matching established brand extensions were identified. The criteria were that the established extensions

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- had market presence before the new launches and until the end of the three-year period; and
- had comparable market share and product attributes.

For instance, for a low-fat yoghurt new extension such as Nestlé's Sveltesse Yoghurt, only the established competing low-fat yoghurt variants with comparable shares were selected as benchmarks (See Table 1).

TABLE 1

Examples: New Extensions and Established Counterparts

Category	New Brand Extension	Established Counterparts
Wrapped Bread	Kingsmill Tasty Wholemeal	Allinson Wholemeal Hovis Wholemeal Warburton's Wrapped Bread
Yoghurt	Nestlé Sveltesse Yoghurt	Danone Shape Yoghurt Yoplait Weight Watcher Yoghurt
Cola	Pepsi Twist Cola + Lemon	Cherry Coke Virgin Cola
Luxury Soft Toilet Roll	Triple Velvet	Charmin Comfort Toilet Tissue Quilted Velvet

Performance Measures

Brand-performance measures (i.e., market share, penetration, average purchase frequency, and quarter-to-quarter repeat purchase) were produced for new and established extensions.

The measures initially were examined for four quarters, including the launch and the three subsequent quarters. The timeframe of 1 year (i.e., four quarters) was considered suitable for establishing stable patterns of buying behavior (Ehrenberg and Goodhardt, 2000; Baldinger, Blair, and Echambadi, 2002). Where data were available, performance measures for four subsequent quarters were calculated, allowing us to verify that buying patterns had stabilized by the end of the first year.

The market-performance results for new extensions were compared with the established counterparts, using averages across categories and quarters. The first quarter was discounted due to inconsistent early buildup of distribution and brand awareness, although the authors present first quarter results (Q1 in the tables) for data completeness.

Results and Analysis

Patterns of Growth for Year One

Data derived from the current study revealed twice as many "Rising" extensions as "Falling" (See Appendix Part A for the "Rising" and Part B for the "Falling" groups). Some of the new extensions became almost instant market leaders, notably in the categories of razor blades (Gillette Mach 3 Turbo and Gillette Venus Divine); chocolates (Kit Kat Chunky); and wrapped bread (Kingsmill Tasty Wholemeal).

Most new launches, however, had small market shares in their categories, and all except six new extensions had quarterly penetrations of 4 percent or less (See Table 2).

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TABLE 2

New Brand Extensions: Quarterly Performance Metrics

New Extensions Compared with Established Counterparts

		Market Share (%)	Penetration* (%)	Purchase Frequency**	Repeat Purchase (%)
"Rising" group (n = 32)	Q1	3.2	1.4		
	Q2	4.7	2.1	1.8	29
	Q3	5.9	2.4	1.9	32
	Q4	7.0	2.7	2.0	34
New Extensions	Ave Q2–4	5.9	2.4	1.9	32
Established	**Ave Q2–4**	**6.8**	**2.8**	**1.9**	**37**
"Falling" group (n = 15)	Q1	2.1	1.4		
	Q2	4.2	2.5	1.6	25
	Q3	3.5	2.0	1.6	22
	Q4	2.7	1.4	1.6	17
New Extensions	Ave Q2–4	3.5	2.0	1.6	21
Established	**Ave Q2–4**	**4.3**	**2.6**	**1.8**	**39**

A summary of the major brand performance metrics, averaged across new extensions in each of the "Rising" and "Falling" groups, for the four quarters from initial launch.
**Penetration refers to the percentage (of all households) buying at least once during the quarter.*
***Purchase Frequency refers to the number of times the brand was bought on average during the analysis period by its buyers.*

In their findings, Ehrenberg and Goodhardt (2000) considered purchase frequency as the main indicator of behavioral loyalty. Other studies have deemed repeat purchase to be a more direct measure of loyalty (e.g., Kalwani and Silk, 1980; Barwise, 1986). The authors examined both measures, as discussed below.

The results for the "Rising" group illustrate that successful new extensions quickly showed buying patterns similar to established brands, consistent with the Ehrenberg and Goodhardt (2000) finding of near instant loyalty. Purchase frequency for these new extensions, averaging 1.9 for quarters 2 to 4, was the same as for the established brands. Penetration and repeat purchase were slightly lower, but both measures were growing closer to the established group figures each quarter. Indeed, by Q4, the new extensions had all four performance metrics (market share, penetration, frequency, and repeat purchase) virtually the same as the established benchmarks.

The near instant loyalty pattern for the "Rising" group was further confirmed by quarter-to-quarter repeat purchase at 32 percent, only a few points short of the 37 percent level of the established brand. An explanation for this pattern is that there are a few regular or heavy buyers from the start but most are occasional buyers, a norm typical with established brands (Ehrenberg et al., 2004).

The "Falling" group of extensions behaved differently. Market share and penetration here peaked in the second quarter but thereafter declined at an increasing rate in successive quarters. Quarter-to-quarter repeat purchase was much lower than the established benchmark and, by the fourth quarter, declined to 17 percent, less than half the 39 percent level of the established group. However, purchase frequency remained stable throughout at 1.6, just below the established group at 1.8. This combination of lower-than-established benchmark repeat purchase with stable (and only slightly low) frequency suggests that the "Falling" extensions were generating excessive levels of one-off trial in relation to the ongoing purchase propensity.

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Nevertheless, the purchase frequency figures showed that there were some adopters in this group that may help stabilize the performance in subsequent quarters but at a level lower than initial sales suggested.

The study further investigated how penetration builds and repeat purchase varies over the year. Table 3 compares cumulative penetration, incremental penetration (new buyers each quarter), and repeat-buyers for the "Rising" and "Falling" groups with a combined group of established extensions.[3]

TABLE 3

New Brand Extensions: Quarterly Penetration and Repeat Purchase

	Cumulative Penetration (%)			Incremental Penetration (%)		
	Established	"Rising"	"Falling"	Established	"Rising"	"Falling"
Q1	2.8	1.4	1.4	2.8	1.4	1.4
Q2	4.1	3.0	3.5	1.3	1.6	2.1
Q3	5.3	4.5	4.8	1.2	1.5	1.3
Q4	6.2	5.9	5.6	1.0	1.4	0.8
	New Buyers as % of Quarterly Buyers			**% Quarter-to-quarter Repeat Purchase**		
	Established	**"Rising"**	**"Falling"**	**Established**	**"Rising"**	**"Falling"**
Q1	100	100	100			
Q2	54	76	84	38	29	25
Q3	43	63	65	39	32	22
Q4	29	52	57	38	34	17

The analysis of cumulative penetration showed it was similar for the three groups (the Established, "Rising," and "Falling"), building to around 6 percent for the year. The finding confirms that generating higher trial (penetration) is not *per se* the differentiating factor between a successful and a failing new extension.

The new extensions that started with high penetration were mostly in the "Rising" group, suggesting early penetration as an indicator, but not a requirement, of market success. (Extensions starting with lower penetration are present in both "Rising" and "Falling" groups.) To understand the course to success, penetration and repeat purchase are therefore best analyzed in conjunction (e.g., Sharp and Sharp, 1997; Woodside and Uncles, 2005). For a new extension—starting from the launch quarter—the level of repeat purchase can be lower than the established norm. The key to differentiating between a successful and a potentially failing extension is to track the level of repeat purchase, which moves closer to the established norm for successful, but declines for failing extensions.

Patterns of Growth in Year Two

Do the results from the first year accurately predict market performance in Year Two? To address this question, the datasets in the current study included figures for a second year for more than half of the new extensions (See Table 4).

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TABLE 4

Market Performance Metrics: Year One versusYear Two

Quarterly AveragesCompared with Established Counterparts

		Market Share (%)	Penetration (%)	Purchase Frequency
"Rising" group	Ave Q2–4	5.9	2.4	1.9
	Ave Q5–8	8.1	3.1	1.8
Established	**Ave Q2–4**	**6.8**	**2.8**	**1.9**
	Ave Q5–8	**7.2**	**2.8**	**1.8**
"Falling" group	Ave Q2–4	3.5	2.0	1.6
	Ave Q5–8	2.8	1.4	1.6
Established	**Ave Q2–4**	**4.3**	**2.6**	**1.8**
	Ave Q5–8	**5.2**	**2.4**	**2.0**

Market share, penetration, and purchase frequency averaged for four quarters of Year Two were compared with Year One for the "Rising" and "Falling" groups and their comparable established benchmarks.

The data from the Year One/Year Two analysis showed clear patterns in Year Two that were consistent with Year One. The "Rising" group continued to gain market share, reflected in Year One/Year Two increase in penetration from 2.4 percent to 3.1 percent and a slight decrease in frequency from 1.9 to 1.8. Compared to the established group, the "Rising" extensions in Year Two, therefore, had higher market share (8.1 percent versus 7.2 percent). This was reflected in higher quarterly penetration (3.1 percent versus 2.8 percent), whereas the purchase frequencies were identical for the two groups at 1.8.

Instead of a continuing decline, the "Falling" group showed market share, penetration, and frequency figures that almost were the same in Year Two as in the fourth quarter of Year One (See Table 2). In Year Two, the "Falling" group had a much lower market share than the established benchmark (2.8 percent vs. 5.2 percent), along with lower than established penetration and frequency.

The first four quarters of data, therefore, were predictors of the point at which a new extension in this group stabilizes.

Conclusions and Further Research

The results of the current study reveal patterns of brand performance metrics that distinguish between successful and failing new extensions and add substantially to the findings of Ehrenberg and Goodhardt (2000) and Wellan and Ehrenberg (1988).

The results show that successful new brand extensions tend to quickly establish both penetration and repeat purchase levels that are close to established brands of similar size. There is little evidence of new extensions steadily and significantly building depth of repeat purchase while keeping their penetrations steady. A new extension can, however, grow its market share by increasing the size of the customer base (penetration), in a similar manner to the growth pattern of an established brand (Sharp, 2010). Such growth was evident in the current research in some cases (see Appendix Part A).

The "Falling" group gained initial penetration and purchase frequency not far short of the "Rising" and established groups. These early indicators, however, could give a misleading view of the long-term potential. The distinguishing characteristic of the "Falling" group, however, was the lower (and declining) level of repeat purchase in comparison to the established group. Repeat purchase and penetration data from the first few quarters, therefore, can reveal new extensions that may not be successful subsequently.

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Can enhanced marketing input help boost the “Falling” new brand extensions and put them on a par with the “Rising”? Answering this question would require study of a longer span of data, along with details of specific marketing actions taken during the period (e.g., Ataman et al., 2008). This presents an opportunity for future research.

Implications for PROMOTION OF NEW Brand EXTENSIONS

The authors’ findings suggest that there is more to the launch task for brand managers than just encouraging initial trial.

A new extension has to develop levels of both penetration and repeat purchase similar to existing brands of comparable size. Such activity needs to be maintained over time. This implies concentrating on distribution-led and salience-focused marketing action through advertising and other communication-based activity and, of course, selling a product that is appealing enough to buy more than once. The current results thus cast doubt on the value of short-term trial generating activity such as price-based promotions.

The authors recommend advertising that leverages and reinforces the parent brand’s salience and is directed at a wide target population. This could encourage trial and adoption of new extensions into buyers’ brand repertoire.

The current findings also put forward a diagnostic framework for managerial decisions regarding the less successful new extensions. This involves evaluating both penetration and repeat-purchase levels compared to established brands up to the third quarter—in particular, identifying extensions with low and falling repeat levels. Such monitoring should provide adequate indication whether to continue or withdraw extensions that are failing to stabilize or to invest further resources in remedial marketing action.

Managers could also employ diagnostic research examining product performance or the competitive position of the failing new extensions to detect reasons for low repeat purchase.

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APPENDIX PART A

Quarterly Market Shares*: “Rising” New and Established Extensions

Product Categories UK (1999–2007)	New Brand Extensions (*n* = 32)	Market Shares (%) New Extensions per Quarter Q1	Q2	Q3	Q4	New Extensions Average Q2–Q4	Established Brands Average Q2–Q4
Luxury Soft Toilet Roll	1	0.1	6.5	7.0	7.8	7.1	5.9
Chocolate Biscuit	1	21.7	15.4	17.8	19.3	17.5	22.4
Premium Wholemeal Wrap Bread	1	17.3	18.4	19.9	22.8	20.4	23.1
Wet Ambient Soup	1	6.3	6.1	6.7	8.0	6.9	7.0
Low Fat Yoghurt	2	3.8	3.0	5.9	6.6	5.1	5.8
Margarine	1	0.6	11.0	14.0	15.1	13.4	18.8
Tomato Sauce/Ketchup	1	0.7	7.3	6.6	7.4	7.1	6.0
Luxury Yoghurt	1	1.2	1.9	1.6	5.2	2.9	3.1
Cook Pour Sauces	1	0.1	0.2	1.0	1.3	0.8	1.9
Continuous Air Freshener	3	2.2	3.1	4.8	5.5	4.5	6.1
Toothpaste	3	0.9	1.2	1.7	1.7	1.5	2.2
Cereal Bar	1	1.2	1.3	1.3	2.5	1.7	1.0
Filled Cone Ice Cream	1	3.9	6.2	4.9	9.5	6.9	9.9
Premium Cat Food	1	0.1	2.4	3.4	3.5	3.1	3.1
Regular Cola	1	0.3	0.7	1.0	1.2	1.0	2.9
Yoghurt Drink	2	0.4	2.5	3.8	5.0	3.8	4.1
Triple Blade Razor Man	2	9.9	12.3	16.6	17.4	15.4	15.2
Shampoo	1	0.6	1.6	1.7	2.1	1.8	2.0
Conditioner	1	1.0	5.3	6.0	6.0	5.8	5.8
Flavoured Mineral	1	1.3	1.1	1.8	2.3	1.7	5.0
Salsa Sauce	1	0.1	6.4	6.6	8.1	7.0	10.4
Cappuccino Coffee	1	2.7	3.6	8.2	7.0	6.3	7.6
Chocolate Ice Cream	2	0.9	1.0	1.1	1.8	1.3	4.0
Razor Woman	1	2.1	6.8	6.6	14.2	9.2	8.7
Average		**3.3**	**5.2**	**6.2**	**7.6**	**6.3**	**7.6**

**In descending order of penetration*

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APPENDIX PART B

Quarterly Market Shares*: "Falling" New and Established Extensions

Product Categories UK (1999–2007)	New Brand Extensions (*n* = 15)	Market Shares (%) New Extensions per Quarter Q1	Q2	Q3	Q4	New Extensions Average Q2–Q4	Established Brands Average Q2–Q4
Regular Cola	1	1.5	6.6	4.0	3.4	4.7	4.6
Diet Cola	2	4.9	8.8	5.5	5.0	6.4	8.1
Breakfast Cereal	1	0.5	0.9	0.7	0.4	0.7	1.9
Bleach Cleaner	1	7.5	4.9	4.1	3.3	4.1	4.5
Deodorant	2	0.9	5.7	6.5	4.9	5.7	6.3
Cereal Bar	2	1.4	3.5	3.1	2.3	3.0	3.2
Toothpaste	1	1.1	1.3	1.8	0.9	1.3	2.0
Shampoo	1	0.7	2.8	2.6	1.6	2.3	2.3
Salty Snacks	2	1.3	0.9	0.9	0.7	0.8	3.5
Conditioner	1	1.7	5.7	5.3	4.8	5.3	5.6
Junior Nappies	1	1.6	3.7	2.6	1.1	2.5	2.0
Average		**2.0**	**4.2**	**3.6**	**2.8**	**3.5**	**4.2**

**In descending order of penetration*

[1] *In the CPG categories, new extensions are more prominent in comparison to innovative products. In our study, the authors treat line extensions, improvements, or product modifications as new brand extensions rather than a truly differentiated new product (e.g., Cooper, 2011).*

[2] *The term* near instant loyalty *was coined by Ehrenberg to contrast with the implications in the literature and elsewhere that loyalty to a new brand built consistently over time (implying maybe years) until the new brand stabilized at some ongoing level, when presumably it would look like an existing brand. In contrast, Ehrenberg's results showed that while penetration might grow as a new brand continued to grow, the level at which existing consumers returned to it stabilized quite quickly and at levels that were quite similar to existing brands.*

[3] *New and repeat buyer percentages do not sum up to 100 percent as new buyer percentages are calculated based on current period buyers, whereas repeat buyers are percentaged on the previous period.*

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